ABRIDGED ANNUAL REPORT FOR F.Y. 2023-2024

HDFC MUTUAL FUND
BHAROSA APNO KA

HDFC MUTUAL FUND

HDFC House, 2nd Floor, H. T. Parekh Marg, 165-166, Backbay Reclamation, Churchgate, Mumbai - 400 020.
TEL: (022) 6631 6333 • Toll Free Nos: 1800-3010-6767/1800-419-7676 • e-mail: hello@hdfcfund.com • WEBSITE: www.hdfcfund.com

SPONSORS

HDFC Bank (w.e.f. July 1, 2023)
Registered Office:
HDFC Bank House,
Senapati Bapat Marg,
Lower Parel (West),
Mumbai - 400 013.

abrdn Investment Management Limited
(upto June 19, 2023)
Registered Office:
1 George Street, Edinburgh, EH2 2LL,
United Kingdom.

TRUSTEE

HDFC Trustee Company Limited
Registered Office:
HDFC House, 2nd Floor, H. T. Parekh Marg,
165-166, Backbay Reclamation, Churchgate,
Mumbai - 400 020.
CIN : U65991MH1999PLC123026

ASSET MANAGEMENT COMPANY

HDFC Asset Management Company Limited
Registered Office:
HDFC House, 2nd Floor, H. T. Parekh Marg,
165-166, Backbay Reclamation, Churchgate,
Mumbai - 400 020.
CIN : L65991MH1999PLC123027

CUSTODIAN

SBI-SG Global Securities Services Private Limited
(As at March 31, 2024)
"B Wing", Jeevan Seva Annex Bldg.,
Ground Floor, S.V. Road,
Santacruz (West), Mumbai - 400 054.

STATUTORY AUDITORS

S.R.Batliboi & Co. LLP
Chartered Accountants
The Ruby, 12th Floor,
29, Senapati Bapat Marg, Dadar (W),
Mumbai - 400 028, Maharashtra, India.

REGISTRAR AND TRANSFER AGENT

Computer Age Management Services Limited
Rayala Towers, 6th Floor,
Tower 1, 158, Anna Salai,
Chennai - 600 002.

BOARD OF DIRECTORS
(As at March 31, 2024)

HDFC Trustee Company Limited
Mr. Vimal Bhandari - Chairman
Mr. Bhavesh Zaveri
Mr. Mehernosh Behram Kapadia
Mr. Dindayal Jalan

BOARD OF DIRECTORS
(As at March 31, 2024)

HDFC Asset Management Company Limited
Mr. Deepak S. Parekh - Chairman
Mr. V Srinivasa Rangan
Ms. Renu S. Karnad
Mr. Sanjay Bhandarkar
Mr. Jairaj Purandare
Mr. Parag Shah
Ms. Roshni Nadar Malhotra
Mr. Dhruv Subodh Kaji
Mr. Navneet Munot - Managing Director and Chief Executive Officer

HDFC INDEX FUND - S&P BSE SENSEX PLAN

AN OPEN-ENDED SCHEME REPLICATING/TRACKING S&P BSE SENSEX INDEX

TRUSTEE REPORT

HDFC Trustee Company Limited (**the "Trustee"**) is pleased to present its 24th report and the audited financial statements of the Schemes of HDFC Mutual Fund (**the "Fund"**), for the year ended March 31, 2024.

The Fund continues to be one of the largest Mutual Fund in India by Assets under Management (AUM). The AUM (including domestic FOF) as at March 31, 2024 was Rs. 6,14,751.64 crores (audited) as against Rs. 4,42,224.64 crores as at March 31, 2023 (audited), representing an increase of 39.01%. The equity schemes' assets constitute 66.25% of the total assets under management of the Fund as at March 31, 2024.

During the year, the Fund launched 5 new Sectoral/Thematic Schemes, 7 new passive schemes (Debt and Equity) and also launched a philanthropic fund i.e. HDFC Charity Fund for Cancer Cure.

The Fund aims to continue to offer need-based and customer-centric products that address the core needs of our diversified customer base.

As at March 31, 2024, the Fund offered 98 schemes (portfolios) across asset classes to meet the varying investment needs of investors.

1. SCHEME PERFORMANCE, FUTURE OUTLOOK AND OPERATIONS

The Fund continues its focus on delivering long-term returns. Scheme specific comments on performance are provided hereinafter.

A. SCHEME PERFORMANCE AND OPERATIONS

The Fund continues its focus on delivering long-term returns. Scheme specific comments on performance are provided in **Annexure 1** below.

B. FUTURE OUTLOOK

Global Economy

FY24 will be remembered as a year of resilience, with growth, inflation, and the labour market proving more robust than expected. Global growth surpassed forecasts mainly due to strong growth in the US. Robust government spending, buoyant services sector, a strong job market and healthy consumption aided US growth. Europe experienced slower growth due to elevated interest rates and energy prices. China faced challenges from its real estate sector and softening exports but growth remained supported through recovery in consumption and industrial investment. Commodity prices corrected due to disappointment in China's growth however, oil prices rose due to heightened geopolitical tensions and continuing production cuts by OPEC+. Inflation receded in most advanced economies (AEs) but remained at elevated levels, prompting central banks to maintain tight monetary policies, though most signalled the end of rate hikes cycle by end of FY24.

Indian economy

Growth: India's growth momentum accelerated, with GDP growth (FY24: 8.2%, FY23: 7.0%) beating estimates on the back of robust investments led by real estate sector and government. Subdued rural income due to uneven monsoon along with elevated inflation, weighted on the private consumption growth. GVA growth also improved (FY24: 7.2%, FY23: 6.7%) driven by manufacturing and construction, despite a deceleration in services sector activity.

Fiscal: Central government fiscal deficit narrowed to 5.6% in FY24 (FY23: 6.4%) driven by strong growth in personal and corporate taxes, while indirect tax collections were sluggish. While GST collections grew at a healthy rate, excise

revenues were subdued due to reduction in windfall taxes on the Oil & Gas sector. Non-tax receipts were boosted by higher-than-expected dividends from the RBI and PSUs. Capital spending surged driven by investments in the railway and road sector along with an increase in interest-free loans for capex provided to states. Growth in revenue spending remained subdued.

Inflation: The average Consumer Price Index (CPI) eased in FY24 to 5.4% (FY23: 6.7%) primarily due to broad-based deceleration in fuel inflation and a favourable base effect. Food inflation remained high driven by rising prices of vegetables, fruits, pulses, and cereals. While core CPI eased considerably but it was still elevated due to high inflation in personal effects, education, and healthcare services.

External sector: India's Current Account Deficit (CAD) declined to 0.7% of GDP in FY24 (FY23: 2.0%), driven by sustained growth in services exports and a fall in commodity prices, particularly oil, coal, and fertilizers resulting in lower trade deficit. This was partly offset by higher net gold imports due to rise in gold prices. However, heightened global uncertainties and increased outflows, particularly through exits via Initial Public Offerings (IPOs), resulted in a sharp decline in India's net Foreign Direct Investment (FDI) inflows. Further, high global interest rates resulted in subdued trade credit and External Commercial Borrowings. Nonetheless, buoyant Foreign Portfolio Investment (FPI) flows in equity and debt sectors largely offset the overall impact.

Outlook:

Global growth is expected to be strong in CY24 at 3.2% YoY (Source: IMF, CY23: 3.1%) led by healthy growth in the US and stable Chinese economy. India's growth momentum remained robust, supported by buoyant economic activity, a buoyant residential market, government focus on capital expenditure, and strong corporate profitability. Growth prospects for India in FY25 remain bright driven by potential rural sector recovery, healthy investment activity continuing and easing inflation. While the external sector faces modest vulnerability due to elevated global interest rates, it is safeguarded by ample foreign exchange reserves and a manageable current account. Key risks include geopolitical tensions, inflation resurgence, central bank tightening further, and surge in energy prices.

Equity markets

India became the 5th largest equity market globally and total market capitalization surpassed USD 4 trillion in FY24 driven by broad-based equity rally. NIFTY/BSE Sensex ended the year higher by ~29%/25% respectively. Midcap and Smallcap indices significantly outperformed. Most sectors ended the year with strong gains with Utilities, Capital Goods, Auto, Healthcare, and Oil & Gas being the key outperformers. Globally, most equity indices across Advanced Economies (AEs) and Emerging Markets (EMs) ended the year with gains, except for China and Hong Kong.

The strong performance of equity was driven by strong buying by Foreign portfolio investors (FPIs) as well as Domestic Institutional Investors (DIIs). In FY24, FPIs bought equities worth USD 25.3 billion (FY23: net seller of USD 5.1 billion). Further, DIIs purchased equities worth USD 25.2 billion (FY23: net purchase of USD 32.2 billion). Retail participation in the equity markets – directly or through mutual funds - rose in FY24. Systematic Investment Plan (SIP) flows, a proxy of retail participation in mutual funds, nearly doubled in FY24 from FY21 (USD 24 billion vs USD 13 billion) and kept the DII buying strong.

Outlook: As on March 31, 2024, NIFTY 50 was trading at ~20.7x FY25E price to earnings multiple. In addition, Market cap-to-GDP stood at ~105% (based on CY25 GDP estimates) and the gap between 10Y G-sec yield and 1Y-Forward NIFTY 50 earnings yield* remained at elevated levels [*Earnings yield = 1/(one year forward P/E)]. Thus, current valuation multiples are at premium to their historical averages. However, one should view these valuations in the context of healthy nominal GDP growth, a buoyant corporate earnings outlook and robust de-levered corporate and banking balance sheets.

We remain positive on equities over the medium-to-long-term considering the structurally robust domestic growth outlook, healthy corporate profitability and pro-growth policies. A sharp slowdown in global growth, escalation of geopolitical tensions and re-acceleration in inflation globally or locally are key near-term risks.

Fixed Income markets

FY24 saw considerable volatility in global fixed income markets, especially in AEs, due to synchronized tightening by major central banks as both growth and inflation exceeded expectations especially in the US. Resilient economy in the US resulted in rate cut expectations being pushed out and US yields ended the year higher than last year. However, yields in Europe were relatively stable on back of weaker growth and rising expectations that ECB might cut rates before US Fed. Indian G-sec yields declined, with 10-year Gsec yields ending at 7.06%, 25 basis points lower. In H1FY24, yields fell following in-line market borrowing in the budget and an unexpected RBI pause in April 2023. However, rising inflation coupled with liquidity turning into deficit and hawkish communication by RBI resulted in yields at the short end rising in H2FY24. The long-end yields, however, remained rangebound. India's inclusion in global bond indices boosted FPI flows post-September 2023(FY24: USD 14.2 billion, FY23: Net sale of USD 0.4 billion) and thus kept a lid on yield at the long end. Corporate bond spreads were largely stable throughout the year.

Outlook: Fixed income markets is favourably placed for FY25. The inclusion of Gsecs in the JP Morgan bond indices is anticipated to bolster the demand outlook for G-Sec in FY25. Moreover, the government commitment to bring down the fiscal deficit to less than 4.5% of GDP by FY26, should help keep market borrowings at manageable levels. Significantly higher than expected dividend from RBI (INR 2.11 trillion against expectation of <INR 1 trillion) should also provide government certain degree of freedom to achieve its fiscal target without sacrificing growth. Additionally, a comfortably placed external sector and ample foreign exchange reserves should keep pressure on INR at bay. Meanwhile, the subdued core CPI momentum should keep inflation under check. Moreover, as the rate hike cycle in AEs has ended, expectations of rate cuts from them are high in FY25. The RBI is also likely to cut rates in the second half of FY25, albeit we anticipate a shallow rate cut cycle. The key risks to the aforesaid favourable yield outlook are frequent food price shocks keeping inflation high and recent surge in commodity prices sustaining resulting in core CPI accelerating. In view of the above, yields are expected to trade with a downward bias and the long end of the yield curve is likely to outperform over the medium term.

2. BRIEF BACKGROUND OF SPONSORS, TRUST, TRUSTEE COMPANY AND ASSET MANAGEMENT COMPANY

a. SPONSORS

HDFC Mutual Fund is sponsored by HDFC Bank Limited. The Sponsor is the Settlor of the Mutual Fund Trust. The Sponsor has entrusted a sum of Rs. one lakh to the Trustee as the initial contribution towards the corpus of the Mutual Fund.

b. HDFC MUTUAL FUND

HDFC Mutual Fund (the "Fund") has been constituted as a trust in accordance with the provisions of the Indian Trusts Act, 1882, as per the terms of the trust deed dated June 8, 2000 and deeds of variation dated June 11, 2003 and June 19, 2003 respectively ("Trust Deed"), with Housing Development Finance Corporation Limited ("HDFC") and abrdn Investment Management Limited as the Sponsors/Settlors and HDFC Trustee Company Limited, as the Trustee. The Trust Deed has been registered under the Indian Registration Act, 1908. The Trustee has entered into an Investment Management Agreement dated June 8, 2000 with HDFC Asset Management Company Ltd. to function as the Investment Manager for all the Schemes of the Fund. The Fund was registered with SEBI on June 30, 2000.

abrdn Investment Management Limited has ceased to be the co-sponsor as on June 20, 2023. HDFC Bank Limited has become the Sponsor of HDFC Mutual Fund on account of merger of HDFC with and into HDFC Bank Limited w.e.f. July 1, 2023.

c. HDFC TRUSTEE COMPANY LIMITED

HDFC Trustee Company Limited (the "Trustee") is the exclusive owner of the Trust Fund and holds the same in trust for the benefit of the Unit holders. The Trustee has been discharging its duties and carrying out the responsibilities as provided in the SEBI (Mutual Funds) Regulations, 1996 (the "Regulations") and the Trust Deed. The Trustee seeks to ensure that the Fund and the Schemes floated thereunder are managed by HDFC Asset Management Company Limited in accordance with the Trust Deed, the Regulations, directions and guidelines issued by the SEBI, the Stock Exchanges, the Association of Mutual Funds in India and other regulatory agencies.

Pursuant to the composite scheme of amalgamation of: (i) HDFC Investments Limited and HDFC Holdings Limited, wholly-owned subsidiaries of Housing Development Finance Corporation Limited ("HDFC Limited") with and into HDFC Limited; and (ii) HDFC Limited with and into HDFC Bank Limited ("HDFC Bank"), HDFC Bank has become the Holding Company and Promoter of the Company with effect from July 01, 2023 and consequently, as at March 31, 2024, HDFC Bank Limited holds 100% of the paid-up equity share capital of HDFC Trustee Company Limited.

During the year, the members at their 24th AGM of the Company had re-appointed Mr. V. S. Rangan (DIN: 00030248) as a Non-Executive Non-Independent Director, liable to retire by rotation. Further, the Board of Directors of the Company vide circular resolution dated December 29, 2023, approved the appointment of Mr. Bhavesh Zaveri (DIN: 01550468) as an Additional Director (Non-Executive) (Nominee of HDFC Bank) effective from December 30, 2023.

Further, during the year, Mr. V. S. Rangan (DIN: 00030248), Non- Executive Director of the Company, had resigned with effect from close of business hours of January 1, 2024.

d. HDFC ASSET MANAGEMENT COMPANY LIMITED

HDFC Asset Management Company Limited is a public limited company incorporated under the Companies Act, 1956 on December 10, 1999, existing under the Companies Act, 2013 and subsequently the equity shares of the Company were listed on National Stock Exchange of India Limited ('NSE') and BSE Limited ('BSE') on August 06, 2018 having its Registered Office at HDFC House, 2nd Floor, H.T. Parekh Marg, 165-166, Backbay Reclamation, Churchgate, Mumbai - 400 020. HDFC AMC has been appointed as the Asset Management Company of HDFC Mutual Fund by the Trustee vide Investment Management Agreement ("IMA") dated June 8, 2000, and executed between HDFC Trustee Company Limited and HDFC AMC. HDFC AMC was approved to act as an Asset Management Company for HDFC Mutual Fund by SEBI vide its letter dated July 3, 2000. HDFC AMC is also registered with SEBI as a Portfolio Manager. Further, HDFC AMC is also registered to act as investment manager for HDFC AMC AIF - II ("AIF Fund"), a Category II Alternative Investment Fund.

Further, HDFC AMC offers management and/or advisory services to permitted category of foreign portfolio investors ("Business Activity") subject to such conditions as may be specified by SEBI from time to time, through fund manager(s) managing the schemes of the Fund under Regulation 24(b) of the SEBI (Mutual Funds) Regulations, 1996, as amended from time to time ("the Regulations"). The services provided by HDFC AMC for the said Business Activity inter-alia includes provision of India focused research, statistical and analytical information, investment management and non-binding investment advice.

During the year, Mr. Rushad Abadan (DIN: 08035538), Non- Executive Director of the Company, director nominated by abrdn Investment Management Limited ("abrdn"), erstwhile Promoter* of the Company, had resigned as Director of the Company with effect from close of business hours of April 18, 2023 pursuant to withdrawal of his nomination by abrdn.

* abrdn ceased to be Promoter w.e.f. September 18, 2023.

Further, during the year, Mr. Keki Mistry (DIN: 00008886), had expressed his desire not to get re-appointed and accordingly, he ceased to be a Non-Executive Director of the Company at the conclusion of the AGM held on June 26, 2023.

The Board of Directors of the Company at its meeting held on January 11, 2024, based on the recommendation of the Nomination & Remuneration Committee, approved the appointment of Mr. V. S. Rangan (DIN: 00030248) as an Additional Director (Non-Executive) (Nominee of HDFC Bank) effective from January 12, 2024.

Further, as required under Regulation 17(1C) of the Listing Regulations, the Company had on March 1, 2024, obtained approval of the shareholders of the Company through Postal Ballot for appointment of Mr. V. S. Rangan as a Non-Executive Director (Nominee of HDFC Bank Limited, Promoter of the Company) liable to retire by rotation.

Shareholding Pattern

During the year under review, there has been a change in the equity shareholding pattern of HDFC AMC. The equity shareholding pattern as at March 31, 2024 of HDFC AMC is as follows:

Name of the Equity Shareholders	% of the paid-up equity capital
*HDFC Bank Limited	52.55
Other Shareholders	47.45

* Pursuant to the composite scheme of amalgamation of: (i) HDFC Investments Limited and HDFC Holdings Limited, wholly-owned subsidiaries of Housing Development Finance Corporation Limited ("HDFC Limited") with and into HDFC Limited; and (ii) HDFC Limited with and into HDFC Bank Limited ("HDFC Bank"), HDFC Bank has become the Holding Company and Promoter of the Company with effect from July 01, 2023.

3. INVESTMENT OBJECTIVE OF THE SCHEME (AS AT MARCH 31, 2024)

Name of the Scheme	Investment Objective
HDFC Index Fund - S&P BSE Sensex Plan	The investment objective of the Scheme is to generate returns that are commensurate with the performance of the S&P BSE SENSEX Index, subject to tracking errors.

There is no assurance that the investment objective of the abovementioned Schemes will be achieved.

4. DISCLOSURE OF CHANGES IN RISK-O-METERS DURING THE YEAR/PERIOD

In terms of clause 17.4.1 (k) of SEBI Master Circular for Mutual Funds dated June 27, 2024, the table of scheme wise changes in Risk-o-meter as at March 31, 2024 is given below. The Annual Disclosure of Risk-o-meters is also disclosed by the AMC on the website, https://www.hdfcfund.com/statutory-disclosure/riskometers

Name of the Scheme	Risk-o-meter at the Start of the Financial Year i.e. March 31, 2023/at the time of NFO	Risk-o-meter at the end of the Financial Year i.e. March 31, 2024/ last available before maturity	No of times Risk-o-meter has changed during the Financial Year/ Period (April 2023 to March 2024)
HDFC Index Fund - S&P BSE Sensex Plan	Very High	Very High	0

5. SIGNIFICANT ACCOUNTING POLICIES

The Significant Accounting Policies form part of the Notes to the Accounts annexed to the Balance Sheet of the Schemes in the Full Annual Report. The Accounting Policies are in accordance with Securities Exchange Board of India (Mutual Funds) Regulations, 1996.

6. UNCLAIMED INCOME DISTRIBUTION CUM CAPITAL WITHDRAWAL (IDCW) & REDEMPTIONS

Summary of No. of Investors and corresponding unclaimed amounts as at March 31, 2024:

Name of the Scheme	Unclaimed Redemptions		Unclaimed IDCW	
	Amount (₹)	No. of Investors	Amount (₹)	No. of Investors
HDFC Index Fund - S&P BSE Sensex Plan	1,060,992.33	289	-	-

7. DETAILS OF INVESTOR COMPLAINTS

For details refer **Annexure 5**.

8. ROLE OF MUTUAL FUNDS IN CORPORATE GOVERNANCE OF PUBLIC LISTED COMPANIES

In terms of clause 6.16.6. of SEBI Master Circular for Mutual Funds dated June 27, 2024, the Fund has framed a general voting policy and procedures for exercising the voting rights in respect of shares held by its Schemes ("Voting Policy"). The Board of Directors of HDFC Trustee Company Limited has adopted the Voting Policy and the same is annexed as **Annexure 2**.

The quarterly reports during the financial year 2023-24 containing the details of votes cast, Scrutinizer's certification thereon, summary of voting, as well as the Voting Policy are disclosed by the AMC on the website https://www.hdfcfund.com/statutory-disclosure/voting.

The Scrutinizer's certification is also annexed as **Annexure 3** hereto.

9. STEWARDSHIP CODE

In terms of the Securities and Exchange Board of India ("SEBI") circular no. CIR/CFD/CMD1/168/2019 dated December 24, 2019, the report on implementation of every principle of Stewardship Code is annexed as **Annexure 4**.

10. DISCLOSURES PERTAINING TO NAV ADJUSTED FOR SWING FACTOR ALONG WITH THE PERFORMANCE IMPACT (APPLICABLE TO OPEN ENDED DEBT SCHEMES):

Sr No.	Period of applicability of swing pricing	Scheme name	Unswung NAV	Swing factor applied	Whether optional or Mandatory
Not Applicable					

11. DIGITAL PLATFORMS – UPDATES DURING THE YEAR

Key New Features on MFOnline Investors Portal & App, MFOnline Partners Portal & App, Connekt App.

User Experience

- Enhanced Pre-login and Dashboard Journey for the Investor App.
- Introduced the 'Add-to-Cart' feature to have a seamless investment experience for new and existing investors
- Transaction Nudges – We have introduced nudges during transaction journeys to investors for an enhanced experience and increased engagement.
- Personalized Website Journey via banners/nudges based on User's behavior on the Investor Portal and corporate website.

Partners

- Cart facility enables Partners to initiate multiple transactions (3 lumpsum purchase & 3 SIPs) for investors and allowing investors to complete single payment for all proposed transactions.
- Flex SIP facility is now enabled for Partners to advise their investors through Digital mode.
- Bulk Transactions for MFDs – Bulk transaction services enable partners to initiate upto 100 transactions in one go and dedicatedly track them on MFOnline
- Enabled transactions for Non-Individual Investors of MFDs – Now Partners can initiate and track Non-Individual investors on MFOnline
- Co browsing for Partners – Partners can raise queries while sharing their screen with our service representatives for faster resolution and a high touch servicing experience on MFOnline
- Digital Marketing for Partners – Launching Connekt App for Partners for their digital marketing needs which provides them with a Digital office, content, a free microsite, marketing automation, lead management, transaction uptake campaigns, investment proposals, digital marketing course, tutorial videos and much more.

Capability

- Cross sell/up sell campaigns based on Analytical Modelling – Creating data models and identifying target audience for increased response rates and conversion rate of campaigns.
- Customer Data Platform for insightful user behavior and personalized marketing campaigns.
- Usage of Adobe Target technology to serve most tailored digital experience to each visitor basis behavior of previous visitors with similar profiles which helps in Lead Acquisition & recommendations.
- Fully Automated Testing Via RPA – Leveraging technology to automate testing of our assets to delivery optimum uptime, early identification of issues and proactive tracking of feature sets
- Enhanced data quality of digital processes with user engagement statistics ensures continuous improvement of features and, transaction volumes, and feedback from investors.

Website Updates

We delivered significant improvement on the website through our SEO interventions, change in design, ensuring content relevance, performance engineering, etc. which made us one of the fastest websites with a low bounce rate and a high percentage of organic traffic. We also leverage emerging technologies to enhance user experience e.g. personalization for new and existing investors 'Add-to-Cart", Compare funds, revamped Fund detail pages, and Knowledge stack section to simplify Mutual Funds concepts for new investors.

Overall Technology Platforms Updates

We have invested heavily in technology and people to build and scale up our in-house digital capabilities. Our technology platform is on cloud, built using cloud native technologies. It's a micro services based open architecture. We continuously improvise on our cloud security. These factors ensure that our technology platform is secure, scalable and robust. Some of the highlights of our technology processes are:

- Near real time synchronizations with CAMS database
- 24*7 Synthetic monitoring of all Digital Assets ensure complete uptimes of all Digital Assets.
- Third party performance engineering audit done for the entire platform and recommendations are in various stages of implementation

The Fund undertook multiple initiatives through the year for higher information security of the Digital Assets and updated the website design for better user experience.

12. LIABILITY AND RESPONSIBILITY OF TRUSTEE AND SPONSORS

The main responsibility of the Trustee is to safeguard the interest of the Unitholders and inter-alia ensure that HDFC Asset Management Company Limited (HDFC AMC) functions in the interest of investors and in accordance with the Regulations, the provisions of the Trust Deed and the Statement of Additional Information, Scheme Information Document/Offer Document of the respective Schemes. From the information provided to the Trustee and the reviews the Trustee has undertaken, the Trustee believes HDFC AMC has operated in the interests of the Unitholders.

The Sponsor is not responsible or liable for any loss or shortfall resulting from the operation of the Schemes beyond the initial contribution of Rs.1 lakh each made by it towards setting up of the Fund.

13. STATUTORY INFORMATION

a. HDFC Bank Ltd. is not responsible or liable for any loss resulting from the operation of the Schemes of the Fund beyond its initial contribution of Rs.1 lakh for setting up the Fund, and such other accretions/additions to the same.

b. The price and redemption value of the Units, and income from them, can go up as well as down with fluctuations in the market value of its underlying investments.

c. Full Annual Report shall be disclosed on the website (https://www.hdfcfund.com/statutory-disclosure/annual-reports) and shall be available for inspection at the Head Office of HDFC Mutual Fund. On written request, present and prospective unitholders/investors can obtain a physical copy of the trust deed, the annual report and scheme related documents at a nominal price.

d. Annual Report of the AMC is disclosed on the website (https://www.hdfcfund.com/about-us/financial/annual-reports). Upon request of any unitholder, annual report of the AMC shall be provided to them.

14. ACKNOWLEDGEMENTS

The Trustees take this opportunity to thank SEBI, AMFI, Exchange(s), Depositories, the investors, Investor Service Centres, distributors, key partners, service providers, HDFC AMC and its employees for their commitment and look forward to their continued support.

For and on behalf of the Board of Directors
HDFC Trustee Company Limited

sd/-
Mehernosh Behram Kapadia
Director

Place: Mumbai
Date: June 7, 2024

Annexure 1

SCHEME PERFORMANCE

HDFC Index Fund - S&P BSE SENSEX Plan - An open-ended scheme replicating/tracking S&P BSE SENSEX Index.

HDFC Index Fund - S&P BSE SENSEX Plan (w.e.f. June 1, 2024 -HDFC Index Fund - BSE SENSEX Plan) targets to generate returns that are commensurate with the performance of the S&P BSE SENSEX Index, subject to tracking errors. There is no assurance that the investment objective of the Scheme will be achieved.

The performance of HDFC Index Fund - S&P BSE SENSEX Plan as at March 31, 2024 is presented below:

S&P BSE SENSEX Plan – Regular Plan

Period	Returns (%)^	Benchmark Returns (%)#
Last 1 Year	26.00	26.50
Last 3 Years	15.01	15.57
Last 5 Years	14.47	15.10
Since Inception@	15.03	17.21

^Past performance may or may not be sustained in the future.

Returns greater than one year are compounded annualized (CAGR)

Benchmark Index: S&P BSE SENSEX (Total Returns Index) (BSE SENSEX (Total Returns Index) w.e.f. June 1, 2024)

@Date of Inception/Allotment: July 17, 2002

Since Inception returns are calculated on ₹ 32.1610 (allotment price per Unit)

S&P BSE SENSEX Plan - Direct Plan

Period	Returns (%)^	Benchmark Returns (%)#
Last 1 Year	26.20	26.50
Last 3 Years	15.22	15.57
Last 5 Years	14.70	15.10
Since Inception@	13.61	13.97

^Past performance may or may not be sustained in the future.

Returns greater than one year are compounded annualized (CAGR)

Benchmark Index: S&P BSE SENSEX (BSE SENSEX (Total Returns Index) w.e.f. June 1, 2024) (Total Returns Index)

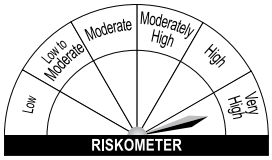
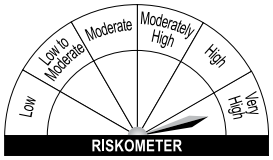
@ Date of Inception/Allotment: January 1, 2013

Since Inception returns are calculated on ₹ 163.6338 (allotment price per Unit)

HDFC Index Fund - S&P BSE SENSEX Plan (passively managed open-ended scheme) has underperformed the benchmark in FY 2023-24 and since inception. 1 year tracking error of scheme is 0.04%. The underperformance to benchmark is due to a) various fund cost e.g. Security Transaction Tax and Brokerage cost on buying/selling of underlying stocks in Index during inflow/redemption, re-balancing, deploying dividend received on underlying stocks of Index, b) although the Scheme mirrors the benchmark, the returns would be lower also to the extent of permissible expenses charged to the Scheme and c) stock price variation from ex-dividend date to dividend deployment date.

The net assets of the S&P BSE SENSEX Plan amounted to Rs. 6620.36 crore as at March 31, 2024 as against Rs. 4,404.20 crore as at March 31, 2023.

As at March 31, 2024, the Scheme had 100% of its total assets invested in constituents of the underlying Index.

Name and Riskometer of Benchmark as on March 31, 2024	Riskometer of the Scheme as on March 31, 2024
S&P BSE SENSEX (Total Returns Index) (BSE SENSEX (TRI) w.e.f. June 1, 2024) 	 Investors understand that their principal will be at very high risk

INDEPENDENT AUDITOR'S REPORT

To the Trustees of
HDFC Mutual Fund - HDFC Index Fund - SENSEX Plan

Report on the Audit of the Financial Statements

Opinion

We have audited the accompanying financial statements of HDFC Index Fund-SENSEX Plan ("the Scheme"), which comprise the Balance Sheet as at 31 March 2024, the Revenue Account, the Cash Flow Statement and the Statement of changes in net asset attributable to unit holders of scheme for the year then ended, and notes to the financial statements, including a summary of material accounting policies and other explanatory information.

In our opinion and to the best of our information and according to the explanations given to us, the aforesaid financial statements of the Scheme give a true and fair view in conformity with the accounting principles generally accepted in India, including the accounting policies and standards specified in the Ninth Schedule to the Securities and Exchange Board of India (Mutual Funds) Regulations, 1996, as amended ("the SEBI Regulations"):

(a) in the case of the Balance Sheet, of the state of affairs of the Scheme as at 31 March 2024;

(b) in the case of the Revenue Account, of the surplus for the year ended on that date;

(c) in the case of the Cash Flow Statement, of the cash flows for the year ended on that date; and

(d) in the case of Statement of changes in Net assets, of the changes in net assets attributable to the unit holders of the respective schemes for the year ended on that date.

Basis for Opinion

We conducted our audit of the financial statements in accordance with the Standards on Auditing (SAs) issued by the Institute of Chartered Accountants of India ("the ICAI"). Our responsibilities under those Standards are further described in the 'Auditor's Responsibilities for the Audit of the Financial Statements' section of our report. We are independent of the Scheme in accordance with the 'Code of Ethics' issued by the ICAI together with the ethical requirements that are relevant to our audit of the financial statements, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion on the financial statements.

Information Other than the Financial Statements and Auditor's Report Thereon

The Management of HDFC Asset Management Company Limited and HDFC Trustee Company Limited (together referred to as the "Management") are responsible for the other information. The other information comprises the information included in the Trustee report, but does not include the financial statements and our auditor's report thereon. The Trustee report is expected to be made available to us after the date of this auditor's report.

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information identified above when it becomes available and, in doing so, consider whether such other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated.

When we read the trustee report, if we conclude that there is a material misstatement therein, we are required to communicate the matter to those charged with governance.

Responsibilities of Management for the Financial Statements

The Management is responsible for the preparation of these financial statements that give a true and fair view of the financial position, financial performance and cash flows of the Scheme in accordance with accounting principles generally accepted in India, including the Indian Accounting Standards (Ind AS), read with the SEBI Regulations. This responsibility also includes maintenance of adequate accounting records in accordance with the SEBI regulations for safeguarding of the assets of the Scheme and for preventing and detecting frauds and other irregularities; selection and application of appropriate accounting policies; making judgments and estimates that are reasonable and prudent, the design, implementation and maintenance of adequate internal controls, that were operating effectively for ensuring the accuracy and completeness of the accounting records, relevant to the preparation and presentation of the financial statements that give a true and fair view and are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the Management is responsible for assessing the Scheme's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the Management either intends to liquidate the Scheme or to cease operations, or has no realistic alternative but to do so.

Those Charged with Governance are also responsible for overseeing the Scheme's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with SAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the Management.

- Conclude on the appropriateness of the Management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Scheme's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Scheme to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with the Management, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide to the Management with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

Report on Other Legal and Regulatory Requirements

1. As required by Regulation 55(4) and clause 5(ii)(2) of the Eleventh Schedule of the SEBI Regulations, we report that:
   a. We have sought and obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit;
   b. In our opinion, the balance sheet and revenue account dealt with by this report have been prepared in conformity with the accounting policies and standards specified in the Ninth Schedule to the Regulations; and
   c. The balance sheet, the revenue account, the cash flow statement and Statement of changes in net asset attributable to unit holders of scheme dealt with by this report are in agreement with the books of account of the Scheme.
2. On the basis of information and explanations given to us, the scheme does not have any non-traded securities valued in good faith as at 31 March 2024 and hence reporting requirement of Eighth Schedule of the SEBI Regulations is notapplicable.

For **S.R. Batliboi & Co. LLP**
Chartered Accountants
ICAI Firm Registration Number: 301003E/E300005

per Rutushtra Patell
Partner
Membership Number: 123596
UDIN: 24123596BKCICS9516

Place: Mumbai
Date: 07 June 2024

ABRIDGED BALANCE SHEET
AS AT MARCH 31, 2024

₹ in Lakhs

	As at March 31, 2024	As at March 31, 2023
LIABILITIES		
1 **Unit Capital**	31,117.80	26,125.53
2 **Reserves & Surplus**		
2.1 Unit Premium Reserves	175,200.44	125,540.51
2.2 Unrealised Appreciation Reserve	195,450.93	82,615.01
2.3 Other Reserves	260,267.02	206,138.93
3 **Loans & Borrowings**	-	-
4 **Current Liabilities & Provisions**		
4.1 Provision for doubtful Income/Deposits	-	-
4.2 Other Current Liabilities & Provisions	2,076.51	1,427.69
TOTAL	**664,112.69**	**441,847.67**
ASSETS		
1 **Investments**		
Gold	-	-
Silver	-	-
1.1 **Listed Securities**		
1.1.1 Equity Shares	662,167.69	440,060.64
1.1.2 Preference Shares	-	-
1.1.3 Other Debentures & Bonds	-	-
1.1.4 Securitised Debt securities	-	-
1.1.5 Units of REITs/InvITs	-	-
1.1.6 Equity Linked Debentures	-	-
1.1.7 Alternative Investement Fund	-	-
1.2 **Awaited Listing Securities**		
1.2.1 Equity Shares	-	-
1.2.2 Preference Shares	-	-
1.2.3 Other Debentures & Bonds	-	-
1.2.4 Securitised Debt securities	-	-
1.2.5 Units of REITs/InvITs	-	-
1.2.6 Equity Linked Debentures	-	-
1.2.7 Alternative Investement Fund	-	-
1.3 **Unlisted Securities**		
1.3.1 Equity Shares	-	-
1.3.2 Preference Shares	-	-
1.3.3 Other Debentures & Bonds	-	-
1.3.4 Securitised Debt securities	-	-
1.3.5 Units of REITs/InvITs	-	-
1.3.6 Equity Linked Debentures	-	-
1.3.7 Alternative Investement Fund	-	-
1.4 Government Securities	-	-
1.5 Treasury Bills	-	-
1.6 Commercial Paper	-	-
1.7 Certificate of Deposits	-	-
1.8 Units of Domestic Mutual Fund	-	-
1.9 Bill Rediscounting	-	-
1.10 Foreign Securities	-	-
Total Investments	**662,167.69**	**440,060.64**
2 **Deposits**	-	-
3 **Other Current Assets**		
3.1 Cash & Bank Balance	259.34	1,049.10
3.2 TREPS/Reverse Repo Lending	1,657.70	719.03
3.3 Others	27.96	18.90
4 **Deferred Revenue Expenditure** (to the extent not written off)	-	-
TOTAL	**664,112.69**	**441,847.67**

ABRIDGED REVENUE ACCOUNT
FOR THE PERIOD APRIL 1, 2023 TO MARCH 31, 2024

₹ in Lakhs

	Current Year	Previous Year
1 **INCOME**		
1.1 Dividend	7,167.51	5,107.39
1.2 Interest	55.88	35.92
1.3 Realised Gain/(Loss) on Foreign Exchange Transactions	-	-
1.4 Realised Gains/(Losses) on Interscheme sale of investments	-	-
1.5 Realised Gains/(Losses) on External sale/redemption of investments	8,843.36	3,482.35
1.6 Realised Gains/(Losses) on Derivative Transactions	-	-
1.7 Other Income (Refer Note 5)	3.68	4.12
(A)	**16,070.43**	**8,629.78**
2 **EXPENSES**		
2.1 Management fees	565.53	407.59
2.2 GST on Management fees	101.80	73.37
2.3 Transfer agents fees and expenses	141.80	121.28
2.4 Custodian fees	7.82	5.99
2.5 Trusteeship fees	3.04	2.62
2.6 Commission to Agents	213.88	152.53
2.7 Marketing & Distribution expenses	55.43	77.31
2.8 Audit fees	0.60	0.49
2.9 Interest on Borrowings	-	-
2.10 Transaction costs (Refer Note 7)	33.65	81.70
2.11 Investor Education and Awareness expenses	55.74	46.66
2.12 Other operating expenses	351.64	439.95
(B)	**1,530.93**	**1,409.49**
3 **NET REALISED GAINS/(LOSSES) FOR THE YEAR/PERIOD (A-B=C)**	**14,539.50**	**7,220.30**
4 Change in Unrealised Depreciation in value of investments (D)	-	-
5 **NET GAINS/(LOSSES) FOR THE YEAR/PERIOD (E=(C-D))**	**14,539.50**	**7,220.30**
6 Change in unrealised appreciation in the value of investments (F)	112,835.92	2,537.43
7 **NET SURPLUS/(DEFICIT) FOR THE YEAR/PERIOD (E+F=G)**	**127,375.42**	**9,757.73**
7.1 Add: Balance transfer from Unrealised Appreciation Reserve **	82,615.01	80,077.58
7.2 Less: Balance transfer to Unrealised Appreciation Reserve	(195,450.93)	(82,615.01)
7.3 Add/(Less): Equalisation	39,588.59	47,350.41
8 **Total**	**54,128.09**	**54,570.71**
9 **Dividend appropriation**		
9.1 Income Distributed during the year/period	-	-
9.2 Tax on income distributed during the year/period	-	-
10 **Retained Surplus/(Deficit) carried forward to Balance sheet**	**54,128.09**	**54,570.71**

** Amount transferred from Revenue Reserve.

Annexure I to the Abridged Balance Sheet and Revenue Account for the Year ended March 31, 2024

1 **Investments:-**

1.1. All investments of the scheme except Government Securities and Treasury Bills are registered in the name of the Trustees for the benefits of the Schemes Unitholders. All investments in Government Securities and Treasury Bills are held in an Subsidiary General Ledger account in the name of "HDFC Mutual Fund".

1.2. Open Position of derivatives as at March 31,2024 is ₹ Nil (as at March 31, 2023 was ₹ Nil.)

1.3. Investments in Associates and Group Companies.

Refer Annexure III

1.4. There are no open position of securities lent by the scheme as at March 31, 2024 and as at March 31, 2023.

1.5. Securities classified as below investment grade or default as at March 31, 2024 is ₹ Nil (as at March 31, 2023 was ₹ Nil).

1.6. The Aggregate Unrealised Gain/(Loss) as at March 31, 2024 is ₹ 195,450.93 Lakhs (as at March 31, 2023 was ₹ 82,615.01 Lakhs) and as a percentage of net assets of the scheme as at March 31, 2024 is 29.52% (as at March 31, 2023 was 18.75%).

1.7. The Aggregate value of investments purchased and sold (including matured) during the financial year and as a percentage of average daily net assets are as under:

	Purchase Value (₹ in Lakhs)	%	Sales Value (₹ in Lakhs)	%
Current Year	134,377.49	24.11	33,748.11	6.06
Previous Year	122,804.73	31.96	19,629.07	5.11

2 Disclosure Under Regulation 25(8) of the SEBI Regulations and other applicable Regulations.

Refer Annexure IV

3 There are no Unit Holders holding over 25% of the Net Asset Value of the Scheme as at March 31, 2024 and as at March 31, 2023.

4 Unit Capital movement during the year ended March 31, 2024.

Refer Annexure II

5 Other Income, if any includes load credited to scheme, compensation received from AMC.

6 Expenses other than management fee are inclusive of GST wherever applicable.

7 Transaction costs represent, costs incurred from November 01, 2012 which are charged to the scheme and not considered for computation of the total expense ratio as per SEBI Notification dated September 26, 2012.

8 Prior year figures have been regrouped and reclassified wherever necessary.

9 Contingent Liability as at March 31, 2024 is ₹ Nil (as at March 31, 2023 was ₹ Nil).

Annexure II - Unit Capital Movement

(Figures in Lakhs)

Particulars		March 31, 2024		March 31, 2023	
		Units	₹	Units	₹
(A) Growth Option					
At the beginning of the year		214.6715	6,904.05	166.0891	5,341.59
Issued during the year		54.5968	1,755.89	72.1522	2,320.49
		269.2683	8,659.94	238.2413	7,662.08
Repurchased during the year		(33.2095)	(1,068.05)	(23.5698)	(758.03)
At the end of the year	(A)	**236.0587**	**7,591.89**	**214.6715**	**6,904.05**
(B) Direct Plan - Growth Option					
At the beginning of the year		597.6644	19,221.48	455.6560	14,654.35
Issued during the year		263.7333	8,481.93	229.8856	7,393.35
		861.3977	27,703.41	685.5415	22,047.70
Repurchased during the year		(129.8934)	(4,177.50)	(87.8771)	(2,826.22)
At the end of the year	(B)	**731.5044**	**23,525.91**	**597.6644**	**19,221.48**
(A) + (B)		**967.5631**	**31,117.80**	**812.3359**	**26,125.53**

Face Value of units is ₹ 32.161/-

Annexure III

Investment in Associates and Group Companies

Current Year **(₹ in Lakhs)**

Nature of instruments	Commercial Paper		Deep Discount Bonds		Equity Shares		NCD/Bonds	
Name of the Issuer #	**Investment by the Scheme**	**Aggregate investment by all the Schemes**	**Investment by the Scheme**	**Aggregate investment by all the Schemes**	**Investment by the Scheme**	**Aggregate investment by all the Schemes**	**Investment by the Scheme**	**Aggregate investment by all the Schemes**
CIE Automotive India Ltd	-	-	-	-	-	38,403.13	-	-
EIH Ltd.	-	-	-	-	-	17,204.24	-	-
GlaxoSmithkline Pharmaceuticals Ltd	-	-	-	-	-	38.65	-	-
HCL Technologies Ltd.	-	-	-	-	2,620.57	172,827.08	-	-
HDB Financial Services Ltd.	-	-	-	33,139.05	-	-	-	513,154.09
HDFC Asset Management Company Ltd.	-	-	-	-	-	1,109.90	-	-
HDFC Bank Ltd.	-	15,433.27	-	-	26,394.88	1,244,985.58	-	273,583.08
HDFC Life Insurance Company Ltd.	-	-	-	-	-	52,920.50	-	-
HDFC Securities Ltd.	-	39,965.54	-	-	-	-	-	-
Housing Development Fin. Corp. Ltd.	-	7,377.64	-	-	2,184.11	158,470.77	-	360,882.49
Network 18 Media & Investments Ltd	-	42,221.15	-	-	-	63.86	-	-
Piramal Pharma Ltd	-	-	-	-	-	85,454.37	-	-
Siemens Ltd.	-	-	-	-	-	28,451.76	-	-
TV18 Broadcast Ltd.	-	17,498.25	-	-	-	101.12	-	-
Total	**-**	**122,495.85**	**-**	**33,139.05**	**31,199.56**	**1,800,030.96**	**-**	**1,147,619.66**

Previous Year **(₹ in Lakhs)**

Nature of instruments	Commercial Paper		Deep Discount Bonds		Equity Shares		NCD/Bonds	
Name of the Issuer #	**Investment by the Scheme**	**Aggregate investment by all the Schemes**	**Investment by the Scheme**	**Aggregate investment by all the Schemes**	**Investment by the Scheme**	**Aggregate investment by all the Schemes**	**Investment by the Scheme**	**Aggregate investment by all the Schemes**
GlaxoSmithkline Pharmaceuticals Ltd.	-	-	-	-	-	2.91	-	-
HCL Technologies Ltd.	-	-	-	-	2,397.91	208,822.27	-	-
HDB Financial Services Ltd.	-	-	-	35,609.33	-	-	-	60,979.55
HDFC Asset Management Company Ltd.	-	-	-	-	-	472.69	-	-
HDFC Bank Ltd.	-	-	-	-	13,089.54	675,455.86	-	35,982.51
HDFC Life Insurance Company Ltd.	-	-	-	-	-	67,488.25	-	6,755.04
Housing Development Fin. Corp. Ltd.	-	178,631.07	-	-	9,027.03	366,035.90	-	882,069.15
Siemens Ltd.	-	-	-	-	-	2,242.05	-	-
Total	**-**	**178,631.07**	**-**	**35,609.33**	**24,514.48**	**1,320,519.92**	**-**	**985,786.24**

The above report includes summation of gross values of Purchase & sale of investments.

This disclosure has been made as Director(s) of the AMC is/are also a Director on the Board of the above Companies. The above investments were considered sound at the point of investment. Before making an investment, the same is evaluated on merits and on arm's length basis and in accordance with the objective of the scheme. The investments under the respective Plans of HDFC Index Fund were made pursuant to their Investment Objectives.

Annexure IV

Disclosure under Regulation 25 (8) of the SEBI Regulations as amended

(i) Disclosure under Regulation 25(8) of the SEBI Regulation have been made in respect of amount paid to parties associated with sponsors in which the Asset Management Company or its major shareholders have a substantial interest as in accordance with the requirements given in SEBI's Circular No. SEBI/IMD/CIR No 18/198647/2010 dated March 15, 2010.

- Commission on distribution of units to associates/related parties/group companies of sponsor/AMC:

Current Year

Name of associate/related parties/group companies of Sponsor/AMC	Nature of Association/Nature of relation (% holding)	Business given		Commission related to the scheme	
		Amount (₹ in Lakhs)	% of total business received by the scheme	Amount (₹ in Lakhs)	% of total commission related to the scheme
HDFC Bank Ltd.	Sponsor	3,836.54	11.54	31.12	14.72
HDFC Sales Private Ltd.	Group company of sponsor (100 $$)	4.93	@	0.03	@
HDFC Securities Ltd.	Group company of sponsor (95.96 $$)	1,481.96	4.46	6.50	3.07

Previous Year

Name of associate/related parties/group companies of Sponsor/AMC	Nature of Association/Nature of relation (% holding)	Business given		Commission related to the scheme	
		Amount (₹ in Lakhs)	% of total business received by the scheme	Amount (₹ in Lakhs)	% of total commission related to the scheme
HDFC Bank Ltd.	Associate (20.87$)	4,376.71	11.50	23.63	15.54
HDFC Sales Private Ltd.	Group company of sponsor (100 **)	6.92	0.02	0.03	0.02
HDFC Securities Ltd.	Group company of sponsor (95.61 $$)	1,764.02	4.63	3.92	2.58

The commission includes commission on retained business of prior periods.

Pursuant to SEBI directives, no payment of commission has been made in respect of investments made by the Sponsor of the Mutual Fund.

The above amount represents payments made to associates.

(ii) The Scheme has made payments to its associates, for services rendered by them, during the year as under:-

Entity	Nature of Payment	Amount (₹ in Lakhs)		% of equity capital held by the sponsors & its subsidiary/associates	
		Current Year	Previous Year	March 31, 2024	March 31, 2023
HDFC Asset Management Company Ltd.	Investment Management and Advisory Fees	667.33	480.96	52.55%$$#	62.77%$#
HDFC Trustee Company Ltd.	Trusteeship Fees	3.59	3.10	100%$$	100%**
HDFC Bank Ltd.	Bank Charges	0.43	0.39	Sponsor	20.87%$
HDFC Bank Ltd.	Custody Charges/Professional Clearing Charges ~	1.37	5.99	Sponsor	20.87%$

(iii) Amounts outstanding as at the Balance Sheet date:-

Entity	Nature of Payment	Amount (₹ in Lakhs)		% of equity capital held by the sponsors & its subsidiary/associates	
		March 31, 2024	March 31, 2023	March 31, 2024	March 31, 2023
Payable					
HDFC Asset Management Company Ltd.	Investment Management and Advisory Fees	30.70	4.19	52.55%$$#	62.77%$#
HDFC Trustee Company Ltd.	Trusteeship Fees	0.83	0.74	100%$$	100%**
HDFC Bank Ltd.	Bank Charges	0.10	0.09	Sponsor	20.87%$
HDFC Bank Ltd.	Custody Charges/Professional Clearing Charges ~	-	0.53	Sponsor	20.87%$
HDFC Asset Management Company Ltd.	Other Expenses	@@	@@	52.55%$$#	62.77%$#
HDFC Bank Ltd.	Commission on distribution of Units	4.70	3.31	Sponsor	20.87%$
HDFC Sales Private Ltd.	Commission on distribution of Units	@@	@@	100$$	100**
HDFC Securities Ltd.	Commission on distribution of Units	0.70	0.39	95.96%$$	95.61%$$

The above amount represents payables to associates.

$# Held by HDFC Ltd - 52.56%; ABRDN Investment Management Limited (Formerly Standard Life Investments Limited) - 10.21%.
$$# Held by HDFC Bank Ltd - 52.55%.
** Held by HDFC Ltd.
$ Held by HDFC Ltd. (including through HDFC Investments Ltd. and HDFC Holdings Ltd.)
$$ Held by HDFC Bank Ltd.
@@ less than 0.01 Lakhs.
@ Less than 0.01%.
@$ Housing Development Finance Corporation Limited ("HDFC Limited") is merged with HDFC Bank Limited effective July 1, 2023. Consequently, HDFC Limited. has ceased to be the Sponsor and HDFC Bank Ltd. has become the Sponsor of HDFC Mutual Fund.

KEY STATISTICS
FOR THE YEAR ENDED MARCH 31, 2024

	Current Year	Previous Year
1. NAV per unit (₹):		
Open		
Growth Option	534.107	525.827
Direct Plan - Growth Option	545.059	535.536
High		
Growth Option	677.296	572.854
Direct Plan - Growth Option	692.342	584.216
Low		
Growth Option	534.107	462.531
Direct Plan - Growth Option	545.059	471.274
End		
Growth Option	672.966	534.107
Direct Plan - Growth Option	687.866	545.059
2. Closing Assets Under Management (₹ in Lakhs)		
End	662,033.04	440,500.77
Average (AAuM[4])	557,327.21	384,228.56
3. Gross income as % of AAuM[1]	23.13	2.79
4. Expense Ratio[5] :		
a. Total Expense as % of AAuM (plan wise)		
Regular Plan	0.39	0.40
Direct Plan	0.20	0.20
b. Management Fee as % of AAuM (plan wise)		
Regular Plan	0.10	0.11
Direct Plan	0.10	0.11
5. Net Income as a percentage of AAuM[2]	22.79	2.54
6. Portfolio turnover ratio (%)[3]	6.06	5.11

	Current Year	Previous Year
7. Total IDCW per unit during the year (₹)	NA	NA
8. Returns (%) ^:		
a. Last One Year		
Growth Option	26.00**	1.57**
Direct Plan - Growth Option	26.20**	1.78**
Benchmark #	26.50**	2.03**
b. Since Inception		
Growth Option	15.03**	14.53**
Benchmark#	17.21**	16.78**
Direct Plan - Growth Option	13.61**	12.46**
Benchmark#	13.97**	12.81**

** Compounded Annualised Returns

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^ Past performance may or may not be sustained in the future.

NA - Not Applicable.

1. Gross income = amount against (A) in the Revenue account i.e. Income.
2. Net income = amount against (C) in the Revenue account i.e. NET REALISED GAINS/(LOSSES) FOR THE YEAR/PERIOD.
3. Portfolio Turnover = Lower of sales or purchase divided by the Average AuM for the year/period.
4. AAuM=Average daily net assets.
5. Expense Ratio = Planwise expense divided by Planwise Average AuM for the year/period.

The Auditors' Report and Abridged Audited Results have been extracted from the Full Annual Report. The Full Annual Report is disclosed on the website (www.hdfcfund.com) and is available for inspection at the Head Office of HDFC Mutual Fund. On written request, present and prospective unitholders/investors can obtain a physical copy of the trust deed, the full annual report and scheme related documents at a nominal price.

Have you…

Updated your PAN and KYC information with us?

Provide us your PAN and KYC information

All Unit holder(s) have to keep their PAN and KYC information (both mandatory) to be updated at all times in their folios. Please note that investments (systematic transaction, lumpsum, redemption and non-investor initiated transactions like IDCW payout) shall not be permitted/shall be restricted in the folios wherein PAN/PEKRN (PAN-exempt KYC Reference Number) are not available. Further if your KYC status is "Validated" you will be allowed to transact in any Mutual Fund whereas if your KYC status is "Registered" then you can continue to transact in existing Mutual Fund only. Non-Resident Individual investors with KYC status as "Registered" can transact in existing and new Mutual Fund till 30-Apr-25.

Identification of Ultimate Beneficial Ownership (UBO) for Non-individual investors

SEBI has mandated all registered intermediaries to obtain sufficient information from their investors/clients viz. non-individuals and trusts in order to identify and verify the identity of persons who beneficially own or control the investments. The beneficial owner is defined as the natural person or persons, who ultimately own, control or influence a client and/or persons on whose behalf a transaction is being conducted or those persons who exercise ultimate effective control over a legal person or arrangement. In view of the above we request you to submit the details of the beneficial ownership along with the requisite documents at the earliest. For the UBO declaration/form, please visit our website www.hdfcfund.com.

Nomination

Unit holders are required to either nominate or opt-out from nomination by providing a declaration in your folios under their respective PAN. This requirement has been mandated to avoid any inconvenience that may be caused to the unitholders family members, in case of any unfortunate event(s).

Updation/Review of Bank account

Unit holders are advised to note that for redemptions and IDCW declared with effect from January 13, 2023, as per amended SEBI regulations, payout will be done only through electronic mode(s), even where a Unit holder has opted to receive physical instruments. Thus, payment of such amounts shall be made through physical instruments only in exceptional circumstances for reasons to be recorded by the AMC. Accordingly, unit holders who have opted for/have earlier received physical instruments are requested to update their bank account details by/sending us a copy of a cancelled cheque of first/sole holder's bank account.

Thus, unit holders should also ensure that the correct bank account details including IFSC is updated in our records.

Done your bit towards the environment?

Provide us your latest contact information and opt to receive communications by email

Update your email ID and mobile number in your folio(s) and experience the convenience of receiving transaction alerts and account statements immediately upon transacting. You can also request for receiving an account statement regularly to your email ID. HDFC Mutual Fund offers a facility for you to receive documents (account statements, annual reports etc.) by email. Receiving documents by email is convenient, easy to store/retrieve, free of cost as well as eco-friendly. After opting for the facility, if you need any document in the physical form, you may request for the same and we shall provide it at no cost to you.

Checked if you have received the redemptions and IDCW, if any, in your folio?

Check for any unclaimed redemptions/IDCW

Unit holders are earnestly requested to check that they have received all redemptions and IDCW, if any, in their folio(s). If any payouts have not been received, our Investor Service Centres will assist unit holders in receiving any such payments.

Important note for investors of erstwhile Morgan Stanley Mutual Fund:

HDFC Asset Management Company Limited manages the schemes of erstwhile Morgan Stanley Mutual Fund with effect from the close of business hours of June 27, 2014. Unitholders of the erstwhile Morgan Stanley Growth Fund are earnestly requested to check for any missing/ unclaimed IDCW, particularly those declared between 1999 and 2006. The Unitholders are requested to approach our Investor Service Centres for the process of claiming such IDCW and for KYC/address or contact details and/or bank account details updation etc. at the earliest.

Information on FATCA & CRS

FATCA (i.e. Foreign Account Tax Compliance Act) is a United States Federal law that requires foreign financial institutions to report certain information about financial accounts held by U.S. taxpayers or by foreign entities in which U.S. taxpayers hold a substantial ownership interest either directly or indirectly to the US tax authorities. FATCA is an important development in US efforts to improve tax compliance involving foreign financial assets and offshore accounts of US citizens. The Government of India and the United States of America (US) have signed an Inter Governmental Agreement to implement FATCA on July 09, 2015. Additional information on FATCA is available at: http://www.irs.gov/FATCA.

Similar to FATCA, Organisation for Economic Co-operation and Development (OECD) has released a "Standard for Automatic Exchange of Financial Account Information in Tax Matters", commonly known as Common Reporting Standard (CRS). CRS mandates multilateral and automatic tax information exchange. Under the standard, jurisdictions would

obtain financial information from their financial institutions and automatically exchange that information with other jurisdictions on an annual basis. India has signed a multilateral agreement on June 03, 2015 that has paved the way for effective exchange of financial account information on an automatic basis among signatory countries. Information on CRS is available at: https://www.oecd.org/tax/automatic-exchange/common-reporting-standard.

Pursuant to the new reporting regime under FATCA and CRS, the AMC/Mutual Fund is required to collect and disclose information about its investors/unit holders to the Indian tax authorities for the purpose of onward transmission to the concerned authorities in case identified as a reportable account. The information disclosed may include (inter alia, but not limited to) the identity of the investors, their tax residency and their direct or indirect beneficiaries, beneficial owners and controlling persons. We urge all the unit holders to update their FATCA/CRS details by submitting self-certification to the AMC/Mutual Fund at the earliest.

The Central Board of Direct Taxes, vide a press release dated April 11, 2017 has notified the requirement of obtaining the FATCA/CRS self-certification from the investors whose folios were opened between July 01, 2014 and August 31, 2015, failing which, such folios would be restricted for further transactions.

Did you know?

Units of eligible schemes of HDFC Mutual Fund can be held in your demat account and are available for transactions on the stock exchanges.

For more information on the above and a suite of other facilities and services offered by HDFC Mutual Fund, visit your financial advisor, if any, or visit our Investor Service Centre closest to you. You may also call us on 1800 3010 6767/1800 419 7676 or email us at hello@hdfcfund.com. Log on to www.hdfcfund.com for additional contact details.

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RISKOMETER#

Investors understand that their principal will be at very high risk

#For latest riskometer, investors may refer to the Monthly Portfolios disclosed on the website of the Fund viz. www.hdfcfund.com

MUTUAL FUND INVESTMENTS ARE SUBJECT TO MARKET RISKS, READ ALL SCHEME RELATED DOCUMENTS CAREFULLY.

BOOK-POST

If undelivered, please return to:

Computer Age Management Services Ltd.
Unit : HDFC Mutual Fund
"Rayala Towers", 6th Floor, Tower 1,
158, Anna Salai, Chennai - 600 002.